

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-17

SAMSUNG ELECTRONICS AMERICA, INC.,
Complainant,

v.

ORIENT OVERSEAS CONTAINER LINE, LIMITED AND OOCL
(EUROPE) LTD.

Respondents & Third-Party Complainants

v.

SAMSUNG ELECTRONICS COMPANY, LTD.,
Third-Party Respondent.

**COMPLAINANT'S REPLY TO RESPONDENTS' APPEAL OF THE ORDER
GRANTING THE MOTION TO DISMISS RESPONDENTS'
COUNTERCLAIM WITH PREJUDICE**

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**COMPLAINANT’S REPLY TO RESPONDENTS’ APPEAL OF THE ORDER
GRANTING THE MOTION TO DISMISS RESPONDENTS’
COUNTERCLAIM WITH PREJUDICE**

Complainant Samsung Electronics America, Inc. (“Complainant” or “SEA”), by its undersigned attorneys, respectfully submits its Reply to the Appeal of the Order Granting Complainant’s Motion to Dismiss the Counterclaim submitted by Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively, “OOCL” or “Respondents”).

INTRODUCTION

OOCL’s Counterclaim is premised on the remarkable proposition that an attempt by a shipper or consignee to recover disputed cargo charges by bringing claims before the Federal Maritime Commission (the “Commission”) constitutes an attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, in violation of 46 U.S.C. § 41102(a).

The Administrative Law Judge (“ALJ”) correctly ruled that “[t]here is simply no way, as a matter of law, that a facially legitimate dispute before the Commission can result in a complainant obtaining ocean transportation at less than applicable rates for purposes of 46 U.S.C. § 41102(a)” (Order Granting Complainant’s Motion to Dismiss Respondents’ Counterclaim, Mar. 31, 2025, Doc. 38 at 5; the “MTD Order”). The ALJ further correctly ruled that “OOCL’s theory that a complainant may violate 46 U.S.C. § 41102(a) by initiating a facially plausible Shipping Act proceeding before the Commission fails to state a claim as a matter of law,” and therefore, “[i]t makes no difference how OOCL pleads its counterclaim; the futility of amendment is a sufficient reason to deny leave to amend in this case.” *Id.*

OOCL nevertheless appeals that ruling and urges the Commission to review Complainant's Motion to Dismiss OOCL's Counterclaim *de novo*. Although OOCL's positioning has shifted on appeal in response to the ALJ's ruling, the core issues remain the same. SEA's Amended Complaint seeks reparations from OOCL to recover demurrage and detention charges imposed by OOCL despite the fact that the cargoes for which SEA was the consignee were shipped on store-door terms, and therefore OOCL had the obligation to timely deliver the containers. In response, OOCL filed its Counterclaim alleging that SEA's action of seeking reparations through a complaint to the Commission constitutes a violation of Section 41102(a).

We note that in its efforts to revive its Counterclaim, OOCL repeatedly conflates the actions of SEA together with the actions of Samsung Electronics Co., Ltd. ("Samsung") and frequently uses the names of the two entities interchangeably. However, SEA is not Samsung; and its involvement with the shipments at issue was different from that of Samsung. As the consignee, SEA did not obtain or attempt to obtain ocean transportation at all, much less knowingly or willfully by means of any unjust or unfair device. To the extent OOCL alleges in its Counterclaim that SEA knowingly and willfully attempted to obtain transportation at lower rates, the act that OOCL complains is "unfair and unjust" is SEA's pursuit of reparations before the Commission. (OOCL's Answer and Counterclaim, Doc. 19 at ¶ 42; "OOCL Counterclaim").

In its appeal of the Order granting SEA's Motion to Dismiss, OOCL lays the blame for its Counterclaim's dismissal not on its patently unsupportable allegations, but rather on its speculation that the ALJ applied an incorrect pleading standard – despite the ALJ's unequivocal statement that because "OOCL's theory cannot, as a matter of law, result in violation of § 41102(a), there is no need to address the specificity of its pleading under the FRCP 9(b) standard." (MTD Order at 5.)

Ultimately, no arguments of misdirection, misstatements of precedent, or irrelevant contentions can suffice to overcome the simple logic of the ALJ's ruling or the lack of merit of OOCL's Counterclaim.

STANDARD OF REVIEW

When the Commission reviews exceptions to an ALJ's decision, it has “all the powers which it would have in making the initial decision.” 46 C.F.R. § 502.227(a)(6). The Commission therefore reviews the ALJ's ruling *de novo*. *Id.*; *see also Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, FMC Docket No. 12-02, 2015 WL 9426189, at *5 (FMC Dec. 18, 2015). Further, while the Commission has all the powers which it would have in making the initial decision, it will adopt the findings of fact and law which it determines “are well-reasoned and supported by evidence in the record.” *United Logistics (LAX) Inc. – Possible Violations of Sections 10(A)(1) & 10(B)(2)(A) of the Shipping Act of 1984*, Dkt. No. 13-01, 2014 WL 5316339, at *1 (FMC Feb. 6, 2014).

LEGAL STANDARD

Although the Commission's Rules of Practice and Procedure (“Rules”) do not explicitly provide for Motions to Dismiss, the Commission's Rule 12 states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules to the extent that the application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12.

“In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rules of Civil Procedure 12(b)(6) and the federal case-law interpreting it.” *Cornell v. Princess Cruise Lines, Ltd.*, FMC Dkt. No. 13-02, 2014 WL 5316340 at *6 (FMC Aug. 28, 2014) (citing *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01, 2011 WL 7144008 at *11 (FMC, Aug. 1, 2011)); *see also MAVL*

Capital Inc. v. Marine Transp. Logistics, Inc., FMC Dkt. No. 16-16, 2020 WL 6445041 at *5 (FMC, Oct. 29, 2020) (stating that the Commission looks to Rule 12(b)(6) when considering dismissals for failure to state a claim). The Commission ruled in *Mitsui* that:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007).

Mitsui, 2011 WL 7144008 at *12.

Thus, a “pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.’” *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (citing *Twombly*, 550 U.S. at 555). And “[t]he Commission need not ...accept any inferences drawn by Complainants that are unsupported by the facts pleaded in the complaint. Moreover, the Commission need not accept legal conclusions cast in the form of factual allegations.” *Cornell*, 2014 WL 5316340 at *7.

FRCP 9(b) provides that “[i]n alleging fraud or mistake, a party must state with particularity the circumstances constituting fraud or mistake.” To satisfy FRCP 9(b), “the plaintiff must allege (1) ‘the time, place, and content of the alleged misrepresentation,’ (2) ‘the fraudulent scheme,’ (3) the defendant's fraudulent intent, and (4) the resulting injury.” *Smith v. Gen. Motors LLC*, 988 F.3d 873, 883 (6th Cir. 2021) (quoting *Wall v. Michigan Rental*, 852 F.3d 492, 496 (6th Cir. 2017)); see also *Cooper v. Pickett*, 137 F.3d 616, 627 (9th Cir. 1997) (requiring a plaintiff making a fraud claim to allege the “who, what, where, when, and how” of the alleged misconduct). This elevated pleading standard means that claims that include an element of fraud are subject to more stringent review on motions to dismiss.

ARGUMENT

OOCL's Counterclaim alleges that SEA violated 46 U.S.C. § 41102(a). That Section is titled "Obtaining Transportation at Less Than Applicable Rates," and provides that:

A person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.

46 U.S.C. § 41102(a).

OOCL's Counterclaim alleged that SEA, a consignee, by seeking reparations of unlawful demurrage charges imposed by OOCL, and by challenging similarly unlawful demurrage charges imposed by other carriers in other complaint proceedings, has somehow engaged in a scheme to unfairly or unjustly attempt to obtain transportation at below-market rates, regardless of the fact that SEA did not attempt to obtain transportation at all, at any rate level, through any unjust or unfair means or otherwise.

The ALJ correctly found that OOCL's allegations cannot, as a matter of law, result in a violation of Section 41102(a) and so dismissed OOCL's counterclaim with prejudice on the basis that OOCL's theory of liability could not stand, and therefore amendment would be futile.

I. The ALJ Correctly Dismissed OOCL's Counterclaim with Prejudice

A. The ALJ Did Not Reach a Ruling on the Applicable Pleading Standard

In its appeal (Doc. 41; "OOCL Appeal"), OOCL contends that the ALJ applied the wrong pleading standard in its Order (Doc. 38; "MTD Order") with respect to SEA's Motion to Dismiss Respondents' Counterclaim (Doc. 24; "SEA MTD" & Doc. 30; "SEA MTD Reply"). However, OOCL's stance is meritless. While SEA had argued in its Motion to Dismiss the Counterclaim that the FRCP 9(b)'s heightened pleading standard should be applied to the "knowingly and

willfully” element of an alleged violation of Section 41102(a)¹, the ALJ concluded that “OOCL’s counterclaim fails as a matter of law *regardless of the particularity of its pleading*.” (MTD Order at 4) (emphasis added). The ALJ further added: “Because I find that OOCL’s theory cannot, as a matter of law, result in a violation of § 41102(a), there is no need to address the specificity of its pleading under the FTCP 9(b) standard.” (MTD Order at 5.)

Nonetheless, OOCL claims that the Presiding Officer’s analysis of the elements of Section 41102(a) was somehow “infected” by the “wrongful suggestion of a heightened standard of pleading,” and therefore, OOCL concludes, the Commission should reverse the ALJ’s Order. (OOCL Appeal at 8). Yet OOCL does not explain how the ALJ’s analysis was “infected,” other than to broadly accuse the ALJ of reviewing the Counterclaim “through occluded glasses, rather than with [] liberality”. (OOCL Appeal at 14). There is no basis for this scurrilous charge, when the ALJ not once, but twice, disclaimed any reliance on FRCP 9(b)’s heightened pleading requirement and ruled solely on the basis of the logical impossibility of the Counterclaim itself.²

B. Should the Commission Need to Address the Pleading Standard for § 41102(a), FRCP 9(b) applies.

If the Commission wishes to clarify the appropriate pleading standard for Section 41102(a) claims, SEA notes that where a claim, whatever its title, “sounds in fraud,” meaning it is premised upon a course of fraudulent conduct, federal courts uniformly require plaintiffs to meet Rule 9(b)’s

¹ See Complainant’s Motion to Dismiss Respondents’ Counterclaim (Doc. 24) for a more comprehensive argument for the application of the FRCP 9(b) pleading standard to allegations of fraud or concealment.

² Though not addressed in Respondents’ Appeal, as a result of his finding that OOCL’s theory cannot, as a matter of law, result in a violation of § 41102(a), ALJ Chintella ruled that he did not need to address the applicability of the *Noerr-Pennington* doctrine to OOCL’s Counterclaim. (MTD Order at 5). *Noerr-Pennington* provides separate and independent grounds for the Counterclaim’s dismissal with prejudice. See SEA MTD at 11-12; MTD Reply at 4-5.

heightened pleading requirements.³ To meet the FRCP 9(b) standard, the allegations must lay out the “who, what, where, when, and how” of the alleged misconduct. *Cooper v. Pickett*, 137 F.3d 616, 627 (9th Cir. 1997). OOCL does not allege fraudulent actions or false statements by SEA in its counterclaim.

OOCL has however asserted in its appeal that the Commission does not apply FRCP 9(b) to what is now 41102(a) claims. While ALJ Guthridge did state that the application of FRCP 9(b) did not apply as a result of the Commission’s failure to adopt a proposed rule (*Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt No. 09-01, 2010 WL 11914641 (ALJ, June 22, 20210)), Commissioner Khouri, who concurred in part, and dissented in part with respect to that decision, pointed out that when a situation is not covered by a specific Commission Rule, following the FRCP, in accordance with the Commission’s own Rule 12⁴, is not selective or permissive, but mandatory. *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt No. 09-01, 2011 WL 7144008, at *34-35 (FMC Aug. 1, 2011) (Khouri, Comm’r, concurring in part, dissenting in part)

³ See, e.g., *Kolominsky v. Root, Inc.*, 100 F.4th 675, 683-684 (6th Cir. 2024) (applying Rule 9(b) to Securities Act of 1933 claim where the claims were grounded in materially false and misleading statements and omissions, thus requiring the FRCP 9(b) pleading standard); *In re BP Lubricants USA Inc.*, 637 F.3d 1307 (Fed. Cir. 2011) (applying Rule 9(b) to False Marking Statute claim based on alleged use of expired patent marking); *Rombach v. Chang*, 355 F.3d 164 (2d Cir. 2004) (requiring pleadings to meet the standard of Rule 9(b) when premised on allegations of fraud); see also *MSP Recovery Claims, Series LLC v. Pfizer, Inc.*, No. 22-CV-01419 (DLF), 2025 WL 689180, at *3 (D.D.C. Mar. 4, 2025) (“[t]he Court is persuaded by the analysis of numerous circuit and district courts that have held that a plaintiff must state with particularity the circumstances of the fraud when fraudulent actions form the basis of a claim.”).

⁴ Rule 12 of the Commission’s Rules (46 C.F.R. § 502.12) states that “for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.” (emphasis added).

That the Commission had, at one time, considered adopting a specific rule for uniform pleading standards, does not equate to the creation of a specific Commission rule *against* the application of FRCP 9(b). It is more reasonable that the Commission concluded that its Rule 12 works as intended in connection with the Federal Rules of Civil Procedure, including pleading standards under FRCP 9(b), as well as with motions to dismiss under FRCP 12(b)(6).

The reasons for requiring more from a claimant alleging fraudulent conduct is prudential and is intended (1) to provide the defendant with fair notice of the plaintiff's claim, (2) to safeguard a defendant's reputation from improvident charges of wrongdoing, and (3) to protect a defendant against the institution of a strike suit. *Wood ex rel. U.S. v. Applied Research Assocs., Inc.*, 328 Fed. Appx. 744, 747 (2d. Cir. 2009); *see also Harrison v. Westinghouse Savannah River Co.*, 176 F.3d 776, 784 (4th Cir. 1999) (citation omitted). Thus, claims involving such allegations are held to an "elevated pleading standard." *Ashcroft v. Iqbal*, 556 U.S. 662, 686–87 (2009).

C. OOCL Failed to Adequately Plead Its Counterclaim

Regardless of whether the heightened pleading standard of FRCP 9(b) applies or not, OOCL's counterclaim fails under the Commission's general pleading standard under Rule 62(a)(3)(iii).

To plead a Section 41102(a) violation (previously known as Section 10(a)(1))⁵, OOCL must plead facts supporting three elements: (1) knowing and willful conduct; (2) through which, either "directly or indirectly," by means of the actions enumerated in the statute or through "any other unjust or unfair device or means;" (3) the party obtained or attempted to obtain ocean

⁵ The Federal Maritime Commission issued a rule on October 1, 2009 recodifying the Shipping Act of 1984 (74 FR 50713) in which Section 10(a)(1) was redesignated 46 U.S.C. § 41102(a). Older Commission decisions reference the original section number in the Shipping Act.

transportation at lesser rates. *OC Int'l Freight, Inc.*, FMC Dkt. No. 12-01, 2014 WL 5316336, at *4, (FMC Jul. 31, 2014). The ALJ disregarded the first element and concluded that OOCL failed to adequately plead the second and third elements.

1. Knowing and Willful Conduct

While not addressed by the ALJ, OOCL failed to sufficiently allege “knowing and willful conduct” as needed to establish a violation of Section 41102(a). Knowing and willful conduct is established if a complaint alleges facts showing that the accused party had knowledge of the facts of the alleged violation and acted either intentionally or with reckless disregard, plain indifference, or purposeful or obstinate behavior akin to gross negligence. Conduct is knowing and willful if it was carried out purposely or obstinately, or with gross recklessness, heedlessness, or a callous disregard for the consequences or plain indifference to the law’s requirements. *See, e.g., Rana v. Michelle Franklin, d.b.a. “The Right Move”*, 5 F.M.C.2d 7, 19-20 (FMC May 25, 2022) (citations omitted).

OOCL does not allege any knowing or willful conduct by SEA in connection with SEA obtaining or attempting to obtain ocean transportation from OOCL in its counterclaim. To the contrary, OOCL acknowledges that SEA was merely the consignee for shipments (OOCL Counterclaim, ¶¶ 8,9), in connection with which SEA received invoices for charges incurred in the United States (*id.* at ¶ 10), and that the charges incurred by SEA were for detention and demurrage *id.* at ¶¶ 10, 18, 19, 21, 22, 24, 25, 33-35, 37, 39-42). Notably, OOCL does not allege that SEA failed to pay any of its invoices.

OOCL argues on appeal that it did in fact allege knowing and willful conduct in its Counterclaim at paragraphs 63 and 65, and that “[d]etails regarding this allegation may be found in paragraphs 27-42 of the Counterclaim.” (OOCL Appeal at 12.) The reference to Counterclaim

paragraphs 63 and 65 is a false one – those paragraphs do not exist in OOCL’s 43 paragraph Counterclaim. Paragraphs 27-42 do at least exist, but conclude at paragraph 42 by alleging that “in bringing legal proceedings against OOCL and other ocean carriers ... SEA has knowingly and willfully engaged in a [sic] unjust or unfair device ...”

While SEA strongly disagrees with OOCL’s contentions, the ALJ correctly concluded that regardless, the bringing of a complaint that withstood a motion to dismiss cannot constitute a Shipping Act violation.

2. Unfair or Unjust Device

OOCL alleges in its Counterclaim that it was SEA’s initiation of legal proceedings against it that operates as the unfair or unjust device by which SEA is attempting to obtain reduced-rate transportation. *See* Counterclaim ¶¶ 41-42. However, OOCL’s Appeal argues that its Counterclaim alleges that SEA engaged in an “unfair and unjust device” when SEA: (1) demanded refunds of charges it contends were unlawfully imposed upon it; (2) demanded that OOCL waive future charges that it contends are unlawful; and (3) met with OOCL in an attempt to resolve the dispute. Thus, OOCL appears to have conceded that the filing of SEA’s claim before the Commission does not constitute an unfair or unjust device, despite alleging so in its Counterclaim. (OOCL Counterclaim ¶ 42).

On appeal, OOCL now argues that a request for a refund may constitute an unfair device of means within the meaning of Section 41102(a), citing *Hohenberg Bros. Co. v. FMC*, 316 F.2d 381, 1964 A.M.C. 511 (D.C. Cir. 1963). (OOCL Appeal at 13-14, 17.) However, that case is plainly inapposite, with facts that are easily distinguishable from the present matter.

Hohenberg involved a shipper responsible to pay for the transportation of the cargo, not a consignee. The shipper, Hohenberg, attempted to obtain a reduced rate for the transportation of

its cargo by misclassifying its density. When four of the six lots of its cargo were measured by an independent inspector for the shipping conference, the lots did not match the density measurements as stated by the shipper and so Hohenberg was charged and paid the higher density price. Hohenberg subsequently obtained an adjustment with the carrier, who agreed to the refund and to the concealment of the misrepresentation from the conference inspectors. The scheme was ultimately uncovered as a result of a Congressional investigation. *Id.* at 383-384.

Here, OOCL concedes that SEA was a consignee of the shipments at issue, not the shipper, and did not pay for the transportation of the cargo. Further, OOCL does not allege that SEA attempted anything similar in nature to false billing, false classification or otherwise within the meaning of “any other unjust or unfair device or means” under Section 41102(a).

OOCL further argues that SEA’s request for refunds in advance of the filing of its claim before the Commission, is somehow “on all fours with *Hohenberg*.” (OOCL Appeal at 14.) Such an argument is, to put it politely, not credible. Open communication about a disagreement with respect to the legality of charges paid or owed cannot plausibly be presented as evidence of fraud or concealment. *See, e.g., SeaFair USA LLC v. Sterling Container Line Ltd.*, FMC Dkt. No. 22-34, 2024 WL 1741926, at *10 (ALJ, Apr. 15, 2024).

Attempting next to allege some form of unlawful “concealment,” OOCL attempts to attribute the signing of the Samsung service contract, and the terms of that service agreement, to SEA, even while acknowledging that the service agreement was reached with, and signed by, Samsung. (OOCL Counterclaim at ¶¶ 2-4; OOCL Appeal at 2). OOCL contends in its Appeal that the service agreement and its “incorporated tariff” provided that SEA, not OOCL, would be legally responsible for any delay charges involving a trucker chosen by SEA. (OOCL Appeal at

15). However, the Counterclaim, and the alleged service agreement excerpts set forth therein, contain no such language. (OOCL Counterclaim at ¶¶ 14-17).

The remainder of OOCL's argument in its Appeal with respect to shippers inducing carriers to provide lower rates by concealing relevant facts or making non-meritorious arguments is similarly inapposite to SEA as a consignee. (OOCL Appeal at 15.) Equally off-point are OOCL's references to cases misrepresented by OOCL as finding an "unjust or unfair device or means" based on a shipper's "continuous assertion of invalid defenses" or the "interposition of erroneous defenses." (OOCL Appeal at 17.) For example, OOCL refers to *Capitol Transportation, Inc. v. United States*, 612 F.2d 1312 (1st Cir. 1979); but in that case, the consignee, Capitol, had refused to pay demurrage charges over an extended period of time, with the ALJ in that case finding that "Capitol's stubbornness went well beyond an ordinary refusal to pay based on a legitimate doubt as to whether particular charges were due and owing." *Id.* at 1322-23. In this case, OOCL concedes that SEA had paid OOCL's demurrage and detention charges, and was seeking reimbursement for those charges SEA contends are unlawful. (OOCL Counterclaim at ¶ 18).

3. Obtain or Attempt to Obtain Transportation at Below-Market Rates

Only since the ALJ's ruling has OOCL alleged that SEA attempted to obtain ocean transportation at lower than usual rates. It attempts to do so now for the first time on appeal by asserting that SEA "attempted to and did obtain rates below those that would have applied absent its concealment (i.e. tariff rates or higher contract rates)." (OOCL Appeal at 17.) But the allegations of the Counterclaim do not support the arguments that OOCL now seeks to make. The Counterclaim alleges that Samsung (*i.e.*, non-party Samsung Electronics Co., Ltd.), as Shipper, is the party with which OOCL negotiated the service contracts, and that SEA was the consignee with the option to nominate a preferred, but not mandatory, trucker. (OOCL Counterclaim ¶¶ 2, 4, 8,

17). The unverified allegations raised for the first time in OOCL's appeal should not be credited, particularly because they are inconsistent with the verified allegations in OOCL's Counterclaim.⁶

Moreover, OOCL's Counterclaim does not allege that SEA attempted to, or did, obtain transportation at less than usual rates, despite the current argument contained its Appeal. Beyond the formulaic, conclusory recitation of Section 41102(a) elements in paragraph 42 of its Counterclaim, at no point does OOCL's Counterclaim make any allegation that SEA attempted to obtain, or actually obtained, any ocean transportation; nor does OOCL describe any manner in which SEA would be deemed to have done so. Rather, by referring to "Samsung" and SEA interchangeably, OOCL attempts to sidestep this critical deficiency in its Counterclaim and bundle the actions of SEA, the consignee, with the alleged actions of Samsung, the alleged shipper. However, this now-blurred understanding is not the result of a lack of knowledge, but rather the lack of an initial ruling in Respondents' favor and should therefore be rejected.

D. The ALJ Correctly Dismissed with Prejudice

Leave to amend pleadings is routinely granted, *except* in cases of futility and bad faith. *See, e.g., Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC; et al*, 2014 WL 5824274, at *9 (ALJ, Nov. 6, 2014) ("When a complaint is dismissed for failure to state a claim, leave to

⁶ *Golden Bridge Tech., Inc. v. Nokia, Inc.*, 527 F.3d 1318, 1322–23 (Fed. Cir. 2008) (ruling that prudential considerations articulated by the Supreme Court counsel against hearing new arguments for the first time on appeal absent limited circumstances); *Cochran v. Quest Software, Inc.*, 328 F.3d 1, 11 (1st Cir. 2003) (ruling that it is a virtually ironclad rule that a party may not advance for the first time on appeal either a new argument or an old argument that depends on a new factual predicate); *Mhany Mgmt., Inc. v. Cnty. of Nassau*, 819 F.3d 581, 615 (2d Cir. 2016) (ruling that circumstances normally do not militate in favor judicial discretion to address new arguments on appeal where those arguments were previously available to the parties and no reason for their failure to proffer them is raised); *Johnson v. Cheney*, 313 F. App'x 732, 733 (5th Cir. 2009) ("This court does not consider factual allegations and new legal theories raised for the first time on appeal.") *Bailey v. Int'l Bhd. of Boilermakers etc.*, 374, 175 F.3d 526, 529–30 (7th Cir. 1999) ("it is well settled that arguments presented for the first time on appeal are waived")

amend need not be given if amendment would be futile.”); *Leonelli v. Pennwalt Corp.*, 887 F.2d 1195, 1198 (2d Cir. 1989) (leave to amend “will be denied when an amendment is offered in bad faith, would cause undue delay or prejudice, or would be futile”).

OOCL seeks leave to amend its counterclaim, but the deficiencies of OOCL’s Counterclaim are such that they lack any factual or legal basis and OOCL has been unable to put forward any rational, cognizable basis for a claim under Section 41102(a) against SEA. The ALJ correctly found that “OOCL’s theory that a complainant may violate 46 U.S.C. § 41102(a) by initiating a facially plausible Shipping Act proceeding before the Commission fails to state the claims as a matter of law.” (MTD Order at 6.) OOCL’s Counterclaim, and the continued pursuit of its reinstatement, is patently futile and has served only to cause undue delay in the proceedings.

More than a year ago, on March 26, 2024, Complainant filed its Verified Complaint (Doc. 01) against OOCL asserting that Respondents had engaged in a pattern of conduct violating the Shipping Act of 1984, 46 U.S.C. § 40101, *et. seq.* The Verified Complaint has withstood OOCL’s motion to dismiss, yet the parties still do not have a discovery schedule, in part due to OOCL’s obviously meritless Counterclaim. Thus dismissal with prejudice was, and remains, appropriate. *Impact Products, LLC v. Yang Ming Marine Transport Corp.*, Dkt. No. 24-10, 2024 WL 4474515, at *1 (ALJ Oct. 4, 2024) (“Denial of leave to amend therefore constitutes an abuse of discretion unless the court gives sufficient reason, such as futility of amendment, undue delay, bad faith, dilatory motive, undue prejudice, or repeated failure to cure deficiencies by previous amendments.”) (quoting *Bancoult v. McNamara*, 214 F.R.D. 5, 8 (D.D.C. 2003)); *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, Dkt. No. 14-04, 2014 WL 5824274, at *9 (ALJ, Nov. 6, 2014)(“When a complaint is dismissed for failure to state a claim, leave to amend need not be given if amendment would be futile.”)

CONCLUSION

In summary, Complainant SEA urges the Commission to adopt the Order as issued by Judge Chintella on March 31, 2025, as it was well-reasoned and supported by evidence in the record.

Respondents OOCL have not offered any novel insight into its Counterclaim to suggest that any elements of its claim were overlooked, but rather argues without basis that a heightened pleading standard was improperly applied and thus somehow infected the ALJ's reasoning. OOCL requests leave to amend but has failed to make any showing that its Counterclaim presents a facially plausible claim. As properly held by Judge Chintella's Order, the OOCL's Counterclaim fails as a matter of law, and amendment of the Counterclaim would be futile.

Dated: May 8, 2025

Respectfully Submitted,

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

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